



some may claim to have higher percentages of local value addition, the reality is that there is currently only a 6% local value addition. The government needs to take proactive steps to promote local manufacturing and boost the contribution of the MSME sector to the GDP.

In one of his budget speeches, former finance minister, the Late Arun Jaitley, mentioned providing additional benefits for those procuring locally manufactured products, especially accessories like laptop chargers, adaptors, and batteries. The policy aimed to exempt excise duty for big brands that sourced these accessories from local manufacturers. This policy still exists in some form, but it requires better implementation to effectively increase local value addition and strengthen the MSME sector's economic position.

To achieve high-value addition and drive economic growth, the government should set ambitious targets for genuine local value addition, ideally around 30% over the next five years. This value addition should not be merely on paper but genuinely embedded in the product's manufacturing process. By doing so, the financial health of the MSMEs will improve, and overall GDP growth will witness positive impacts beyond the current levels.

What stage are we at for skill development and educational programs for creating a high-value addition ESDM industry? What more do we need to do?

The Electronic Skill Sector Council of India and the government of India have identified around 14 areas where skill training is needed. Despite the curriculum being established, the primary hurdle lies in motivating trainees to participate. Inadequate infrastructure and workshops pose a challenge in establishing skill training centres, particularly in universities. High investment costs of around five million rupees for even basic training,

like PCB soldering, deter businesses due to uncertain trainee inflow.

Corporate social responsibility (CSR) funds are often not effectively utilised, as many companies redirect these funds towards brand-building instead of using them for skill training. This diverts CSR funds from their intended purpose of industry-focused skill development, hindering effective training for those in need. This situation leads to a gap between the skills required by industries and the skills possessed by potential candidates.

Many students lack practical skills. The need for relevant skill training is evident, but some significant barriers and challenges hinder the effective implementation of skill development programs. It is essential to address these challenges and find innovative solutions to bridge the skill gap, ensuring that potential trainees can access the necessary training, and industries can benefit from a skilled workforce.

What stage are we at with respect to research and development for creating a high-value addition ESDM industry? What more do we need to do?

Our current spending on R&D in the MSME sector is only 2.5%, which is very low. Small businesses often struggle to allocate funds for research and development due to limited financial resources. However, to foster innovation and growth in the MSME sector, it is crucial to enhance R&D spending. One potential solution is encouraging companies with substantial financial resources, particularly those with significant CSR funds, to invest in R&D initiatives. These companies can contribute to developing common facilities centres and establish contract research organisations catering to various sectors, including the ESDM sector and beyond.

By creating such research opportunities, MSMEs can access research facilities without incurring substantial costs, thereby promoting R&D activities. Ultimately, a high-value addition electronics industry can only be achieved by empowering the MSME sector, as it comprises a majority of the manufacturing enterprises. By promoting collaborative R&D efforts and providing easier access to research facilities, the government can play a crucial role in fostering innovation and growth in the MSME sector. This, in turn, will contribute significantly to the overall development of the country's economy.

Where are we at, with respect to manufacturing and infrastructure, for a high-value addition economy?

We need better industrial infrastructure to support the growth of MSMEs and the manufacturing sector in India to attract investments. The government's role in providing and improving industrial infrastructure cannot be understated. While some efforts have been made, there is a need for more significant investment and long-term planning to ensure that industrial clusters have access to essential amenities like good roads, rail connectivity, water supply, power, and ICT infrastructure. Offering affordable land with longer lease periods and feasible repayment options can encourage more manufacturers to invest in industrial parks and clusters. This will give businesses a sense of stability and make it easier for them to obtain loans and financial support from banks and other financial institutions.

Moreover, improving industrial infrastructure can also increase employment opportunities in the region and contribute to economic development on a larger scale. By prioritising and investing in industrial infrastructure development, the government can create an environment conducive to growth and innovation in the MSME sector. It will attract more invest-